

The Swiss Franc Safe-Haven Effect

A Macroeconometric VAR Analysis

Abstract

This paper investigates whether geopolitical risk drives safe-haven capital flows into Switzerland independently of interest rate differentials. Using a reduced-form VAR(4) on 164 quarterly observations from 1985 to 2025, we find clear evidence of a pure fear channel: shocks to the Geopolitical Risk index of Caldara and Iacoviello (2022) significantly predict Swiss portfolio inflows at lags 1 and 4, while the US–CH yield spread remains insignificant throughout. The impulse response functions reveal a two-wave adjustment pattern broadly consistent with slow-moving capital and liquidity-driven reversal dynamics. The GPR index explains around 12% of forecast-error variance in portfolio inflows at medium horizons, compared to less than 2% for the yield spread. Results hold across both model specifications.

Ksenia Afonina Clara Engeli Mélanie Gillo

Université de Lausanne — HEC Lausanne

Macroeconometrics Project

May 2026

1 Introduction

The Swiss franc (CHF) is widely known as a safe-haven currency. When global tensions rise, investors tend to move capital into CHF-denominated assets, pushing the exchange rate up even when nothing has changed in Switzerland itself. This has been documented empirically, notably by Ranaldo and Söderlind (2010), who show that the CHF appreciates significantly during periods of global financial stress. Habib and Stracca (2012) further confirm that safe-haven flows into Switzerland are driven by global risk aversion rather than domestic fundamentals, and Grisse and Nitschka (2015) show that CHF appreciation during stress episodes is accompanied by significant capital inflows, pointing to portfolio reallocation rather than purely speculative positioning. What is less clear, however, is whether this reflects a genuine fear-driven effect or whether it can simply be explained by interest rate differentials, the so-called carry-trade channel. Separating the two is not straightforward, as both tend to move together during crises.

This paper tries to disentangle them. We test whether shocks to the Geopolitical Risk (GPR) index of Caldara and Iacoviello (2022) lead to significant increases in Swiss portfolio inflows after holding the carry-trade channel fixed through the US–CH yield spread. Our hypothesis is that the safe-haven effect is real and cannot be reduced to carry-trade dynamics alone, a “pure-fear” channel. Our contribution is to test this systematically over four decades of quarterly data using a VAR framework, and to assess whether the relationship is stable over time and across different model specifications.

To interpret the dynamics we find, we draw on Duffie (2010), who argues that capital adjusts slowly after shocks because of intermediary frictions and segmented investor bases, producing delayed multi-wave adjustment dynamics that show up clearly in our impulse response results.

2 Data

2.1 Sample and Variables

The analysis uses quarterly data from 1985Q1 to 2025Q4, giving 164 observations for Model A. All variables were converted to quarterly frequency, as SNB foreign exchange reserve data are not available at monthly frequency for the full sample. Raw data plots for all four series are provided in Appendix A1.

The dependent variable is Swiss portfolio investment inflows from the SNB Balance of Payments (CHF millions), our most direct measure of safe-haven demand. The key variable of interest is the Geopolitical Risk (GPR) index of Caldara and Iacoviello (2022), a unitless index constructed from newspaper coverage of geopolitical tensions, used as a proxy for global fear. The yield spread between US and Swiss 10-year government bond yields (FRED / SNB) controls for the carry-trade channel. Table 1 summarises all variables.

Variable	Source	Unit	Transformation
Portfolio Inflows	SNB Balance of Payments	CHF millions	$\Delta \ln(\cdot)$
GPR Index	Caldara & Iacoviello (2022)	Unitless index	$\Delta \ln(\cdot)$
Yield Spread	FRED / SNB (US 10Y – CH 10Y)	Percentage points	Levels
FX Reserves	SNB balance sheet	CHF billions	Δ levels

Table 1: Variables, sources, units, and stationarity transformations. FX reserves are included in Model B (1997Q1–2025Q4) only.

2.2 Two Model Specifications

We estimate two specifications. Model A covers the full sample from 1985Q1 to 2025Q4 with three variables: portfolio inflows, the GPR index, and the yield spread. Model B covers 1997Q1 to 2025Q4 and adds quarterly changes in SNB foreign exchange reserves. From the late 1990s onwards, the SNB began intervening heavily in foreign exchange markets, generating capital flows unrelated to private-sector safe-haven demand. Controlling for Δ FX reserves in Model B allows us to isolate genuine investor behaviour from central-bank-driven flows. The shorter sample is dictated by data availability.

2.3 Stationarity

Portfolio inflows and the GPR index are non-stationary in levels; ADF tests reject the unit root null at the 1% level for both log-differenced series. The yield spread is stationary in levels and enters the VAR without transformation. FX reserves are first-differenced to remove a persistent upward trend from SNB intervention programmes.

3 Methodology

3.1 Model Specification

We estimate a reduced-form VAR(p) where y_t is an $n \times 1$ vector of endogenous variables:

$$y_t = c + \Phi_1 y_{t-1} + \dots + \Phi_p y_{t-p} + \varepsilon_t \quad (1)$$

where c is an $n \times 1$ vector of constants, $\Phi_1, \dots, \Phi_p$ are $(n \times n)$ coefficient matrices, and $\varepsilon_t \sim (0, \Sigma)$ is a vector of reduced-form residuals whose components may be contemporaneously correlated. Lag length is selected by the Akaike Information Criterion (AIC), which points to $p = 5$, capped at $p = 4$ to preserve degrees of freedom given $T = 164$ quarters.

Model A ($n = 3$, 1985Q1–2025Q4) sets $y_t = (\Delta \ln \text{GPR}_t, \text{Spread}_t, \Delta \ln \text{PIP}_t)'$. **Model B** ($n = 4$, 1997Q1–2025Q4) extends this to $y_t = (\Delta \ln \text{GPR}_t, \text{Spread}_t, \Delta \text{FX}_t, \Delta \ln \text{PIP}_t)'$, adding ΔFX_t to absorb mechanical capital flows from SNB interventions and isolate private-sector safe-haven demand.

3.2 Identification

Structural shocks η_t are recovered via the Cholesky decomposition of $\Sigma = PP'$, so that $\varepsilon_t = B\eta_t$ with $B = P$ lower triangular. The recursive ordering

$$\Delta \ln(\text{GPR}_t) \rightarrow \text{Spread}_t \rightarrow \Delta \ln(\text{PIP}_t)$$

reflects the assumption that geopolitical events are contemporaneously exogenous to Swiss financial conditions within a quarter. Instantaneous causality tests fail to reject in both specifications, validating this ordering ex post (see Table 2).

4 Results & Discussion

The following section presents the empirical results of the VAR analysis. We first discuss the main VAR estimation results from both model specifications before turning to the impulse response functions, followed lastly by the validation and robustness checks. Together, these results evaluate whether geopolitical risk is associated with statistically and economically meaningful safe-haven capital flows into Switzerland beyond what can be explained by the carry-trade channel.

4.1 VAR Estimation Results

The VAR estimation results provide strong evidence consistent with the safe-haven hypothesis across both model specifications (see Table A2). Geopolitical risk significantly predicts Swiss portfolio inflows, with the lag-4 GPR coefficient emerging as the strongest effect in both models. The estimated coefficients are economically large and statistically significant, reaching 8.637 in Model A ($p < 0.001$) and 9.881 in Model B ($p < 0.01$). The positive coefficients at both lag 1 and lag 4 suggest that the inflow response to geopolitical stress unfolds over multiple quarters rather than occurring instantaneously. By contrast, the US–CH yield spread remains insignificant at all lags in both specifications, suggesting that interest rate differentials are unlikely to be the primary driver of Swiss franc inflows during periods of heightened geopolitical uncertainty.

In the extended specification (Model B), FX reserve changes enter positively and significantly at lag 4 (0.063, $p < 0.05$), consistent with the view that SNB interventions may smooth short-run exchange-rate pressures without eliminating the broader safe-haven pattern. The fact that the GPR coefficients remain economically large and statistically significant after controlling for FX reserves further suggests that the observed inflow responses are not solely driven by central-bank-related effects.

4.2 Impulse Response Analysis

While Table A2 establishes the statistical significance of the GPR coefficients, the impulse response functions trace the complete dynamic path of the safe-haven effect over twelve quarters. Figure 1 below overlays the impulse responses of portfolio inflows for both model A and model B to a one standard deviation GPR shock $SD = 0.2386$ (see Table A3.1, Appendix).

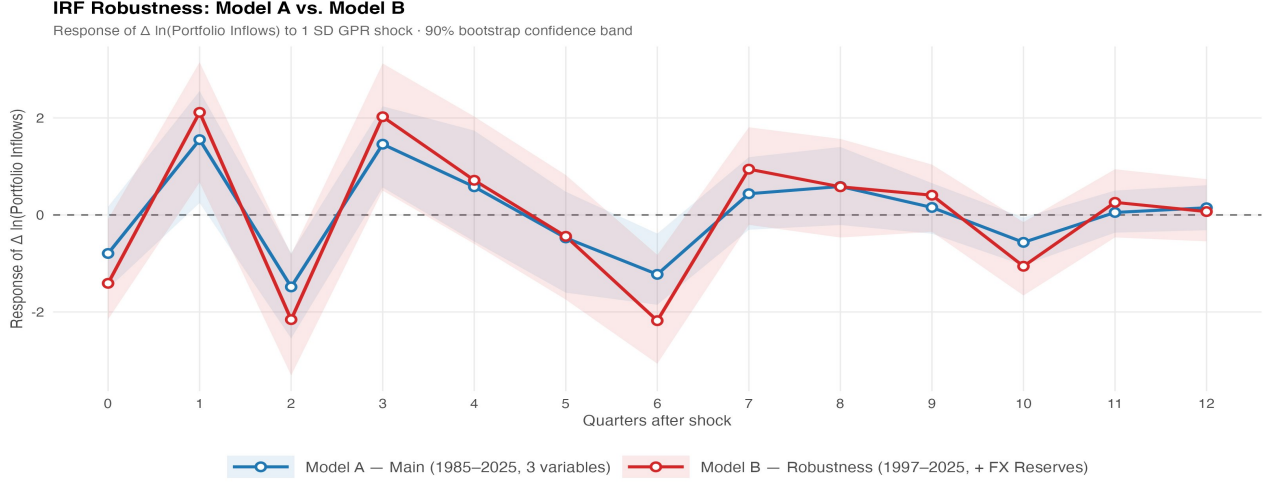


Figure 1: Two-wave safe-haven structure visible in both models. Model B shows larger peaks ($h=1$: +2.115 vs. +1.553; $h=3$: +2.025 vs. +1.459 log-points) once SNB reserve flows are controlled for. Overlapping 90% bootstrap confidence bands confirm robustness across both specifications. Units: $\Delta \ln(\text{Portfolio Inflows})$.

Both specifications display a consistent two-wave dynamic response pattern. The two-wave response pattern in Figure 1 remains robust across alternative Cholesky orderings. All specifications preserve the same sign pattern at horizons 1, 2, and 3, with only minor quantitative differences across models (see Table A4.1 and Table A4.2, Appendix).

We interpret this pattern through the lens of heterogeneous investor dynamics, drawing on frameworks from the safe-haven and slow-moving capital literature, while acknowledging that none of these papers directly predict or document this specific quarterly pattern in Swiss portfolio inflows. The negative contemporaneous response at horizon 0 reflects the recursive Cholesky identification structure imposed on the VAR system. The first positive wave at horizon 1 is broadly consistent with the immediate safe-haven reactions documented by Ranaldo and Söderlind (2010), where fast-moving investors react immediately to geopolitical stress. The partial reversal at horizon 2 can be broadly aligned with the liquidity adjustment dynamics of Brunnermeier and Pedersen (2009), who document that crises generate flight-to-quality behaviour and temporary reversals as acute fear subsides. The second positive wave at horizon 3, followed by gradual decay, is interpreted through two complementary frameworks. Duffie (2010) relates gradual portfolio adjustment to funding frictions, balance-sheet constraints, and segmented investor bases, while Caldara and Iacoviello (2022) document that geopolitical shocks generate persistent uncertainty well beyond the initial event. We acknowledge, however, that the specific two-wave quarterly structure is our empirical finding and is not directly predicted by any of these frameworks.

The IRF values are not directly readable from Table A2; they require the full MA recursion (see Table A5, Appendix).

4.3 Narrative Check

As a first validation of the VAR results, Figure 2 overlays the five quarters with the highest observed GPR values against Swiss portfolio inflows (CHF millions). These five episodes were identified purely from the data without imposing any predefined crisis windows making the check fully agnostic to the model specification. If the safe-haven mechanism identified by the VAR is genuine, each GPR spike should be followed by a directional inflow response consistent with the two-wave IRF pattern estimated in Section 4.2.

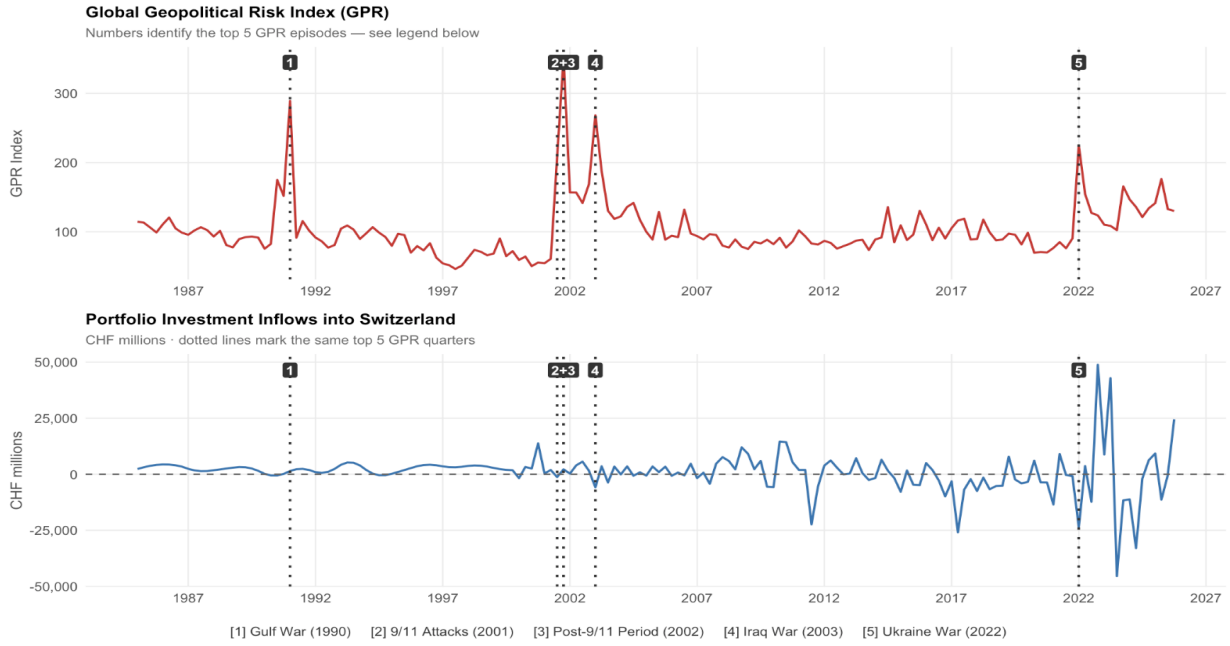


Figure 2: Narrative Check: GPR Spikes vs. Safe-Haven Inflows. The figure overlays the five quarters with the highest observed GPR values, which were identified purely from the data and not from predefined crisis windows, against Swiss portfolio inflows (CHF millions). Across all five episodes a consistent directional pattern emerges: an initial positive inflow spike is followed by a short-term reversal and a second positive wave, directly mirroring the two-wave IRF identified by the VAR. The Ukraine War [5] produces the largest and clearest response, while earlier episodes show the same qualitative pattern at smaller magnitudes, likely reflecting weaker global financial integration before 2000.

4.4 Historical Decomposition and FEVD

Figure 3 plots the 4-quarter rolling GPR contribution to Swiss portfolio inflows (log-points, Model A). Positive rolling sums during each of the ten crisis episodes confirm that GPR shocks drove sustained net safe-haven inflows over a one-year horizon, net of the within-quarter reversal visible in the IRF. The smoothed trend returns to zero between episodes, indicating the channel activates in response to discrete shocks rather than a secular trend. At the forecast-error level, the GPR share of inflow variance stabilises near 12% from horizon 6 onwards, while the yield spread never exceeds 2%, reinforcing the negligible role of the carry-trade channel over the medium term.

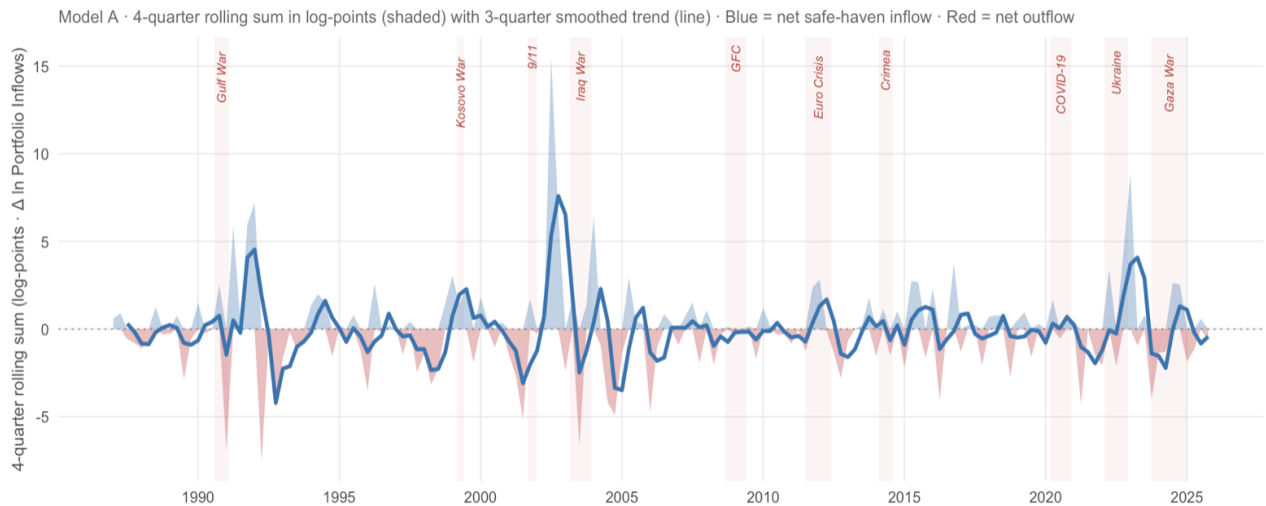


Figure 3: Rolling Annual GPR Contribution to Portfolio Inflows (Model A, 1985–2025). The shaded area shows the 4-quarter rolling sum of the GPR structural shock's contribution to $\Delta \ln(\text{Portfolio Inflows})$, obtained from the historical decomposition of the VAR(4) system. Blue shading indicates quarters in which geopolitical risk drove *net safe-haven inflows* into Switzerland; red shading indicates quarters of *net geopolitically-driven outflows*. The solid line is a 3-quarter centred moving average of the rolling sum, smoothing quarter-to-quarter noise. Crisis episodes (Gulf War, Kosovo, 9/11, Iraq War, GFC, Euro Crisis, Crimea, COVID-19, Ukraine, Gaza) are marked with red vertical labels. The key takeaway is that the GPR contribution turns *persistently positive* during every major crisis window over four decades, confirming that the safe-haven effect is not driven by a single episode but reflects a stable structural channel.

4.5 Validation and Robustness Checks

Table 2 reports the Granger causality tests. The null that $\Delta \ln(\text{GPR})$ does not Granger-cause the VAR system is rejected at the 1% level in Model A ($F = 3.23$, $p = 0.0014$) and the 5% level in Model B ($F = 2.23$, $p = 0.0102$). Instantaneous causality fails to reject in both specifications, supporting the Cholesky ordering of Section 8.4. Pseudo out-of-sample forecasting yields an RMSE ratio of 0.48 vs. a random walk (see Figure A6, Appendix). The recursive lag-4 GPR coefficient is already positive and close to 5.0 by the start of the 2010 evaluation window, then follows a smooth upward path toward the full-sample estimate of 8.637 by 2025 (see Figure A7, Appendix). Importantly, there is no discrete break around the Ukraine War period; instead, the coefficient strengthens gradually over the recursive sample. This indicates that the safe-haven relationship was already present before 2022 and that the main result reflects a persistent structural channel rather than a late-sample artefact. Portmanteau ($p = 0.21$) and ARCH ($p = 0.14$) tests indicate no residual misspecification (see Table A8, Appendix); all companion roots satisfy the stability condition (max modulus = 0.892).

Table 2 — Granger Causality Tests

H_0 : $\Delta \ln(\text{GPR})$ does not Granger-cause the system

Test	Model A · 1985–2025 · 3 variables				Model B · 1997–2025 · 4 variables			
	Stat.	Distrib.	p-val	Verdict	Stat.	Distrib.	p-val	Verdict
Granger Causality	3.2302	$F(8,438)$	0.0014	Reject H_0	2.2273	$F(12,380)$	0.0102	Reject H_0
Instantaneous	2.3449	$\chi^2(2)$	0.3096	Fail to reject	6.0714	$\chi^2(3)$	0.1082	Fail to reject

*Note: The **Granger causality** F -test evaluates whether all four GPR lags jointly predict Swiss portfolio inflows beyond what is explained by the yield spread and own-lag dynamics. Rejection ($p = 0.0014$ in Model A; $p = 0.0102$ in Model B) confirms that geopolitical risk carries statistically significant predictive content for capital flows in both specifications, independently of the carry-trade channel. The **instantaneous causality** χ^2 -test checks whether GPR residuals are contemporaneously correlated with the rest of the system within the same quarter. Failure to reject ($p = 0.31$; $p = 0.11$) validates the Cholesky identification ordering: GPR shocks are predetermined within each quarter and do not respond contemporaneously to capital flow or interest-rate movements, justifying its placement as the most exogenous variable in the recursive ordering.*

5 Discussion

The results robustly support a pure geopolitical fear channel in Swiss capital flows. Three limitations warrant attention. First, the recursive Cholesky ordering assumes GPR is contemporaneously exogenous; sign restrictions or narrative instruments would provide a more agnostic identification check. Second, the quarterly frequency obscures intraperiod dynamics; monthly data would help separate the immediate panic response from the slower institutional reallocation at horizon 3. Third, the sample spans two distinct SNB policy regimes; a regime-switching specification could sharpen the separation of private safe-haven demand from central-bank-driven flows beyond what Model B achieves. Future work could also disaggregate inflows into bond and equity components to identify the asset classes driving the two-wave pattern, and exploit the RMSE ratio of 0.48 to build a real-time early-warning indicator for safe-haven demand pressures.

6 Conclusion

Using a VAR(4) model on 164 quarterly observations (1985–2025), we find strong evidence that geopolitical risk is associated with safe-haven capital flows into Switzerland beyond what can be explained by the carry-trade channel proxied through the US–CH yield spread. GPR significantly predicts portfolio inflows at lags 1 and 4 in both specifications (Model A: $\alpha_4 = 8.637$, $p < 0.001$; Model B: $\alpha_4 = 9.881$, $p < 0.01$), while the yield spread remains insignificant throughout. The impulse response functions display a two-wave adjustment pattern broadly consistent with theories of slow-moving capital (Duffie, 2010) and liquidity-driven reversals (Brunnermeier & Pedersen, 2009). The FEVD attributes a stable 12% of medium-term inflow variance to GPR shocks, and Granger causality tests reject the null at conventional significance levels in both models. Structural stability holds since at least 2010. Overall, the evidence suggests that Switzerland’s safe-haven status reflects a persistent and economically meaningful relationship between geopolitical stress and capital inflows across four decades of geopolitical shocks.

Appendix

A1. Raw Data Plots

Main Variables Overview (1985–2025)

Red shading = major geopolitical crisis episodes

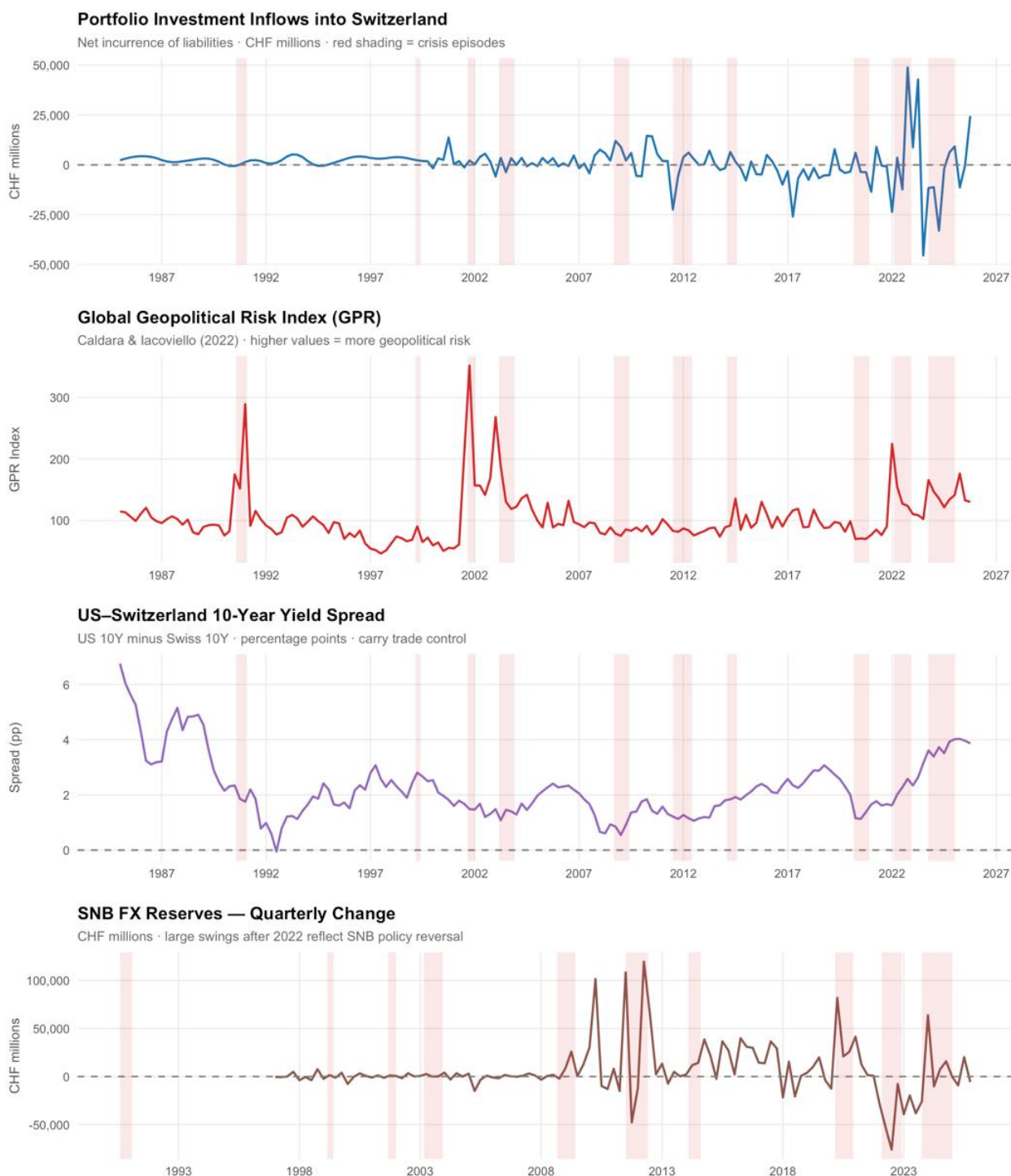


Figure A1: Raw data — quarterly time series for all four variables (1985Q1–2025Q4). From top to bottom: Swiss portfolio investment inflows (CHF millions), the Geopolitical Risk (GPR) index of Caldara and Iacoviello (2022), the US–CH 10-year yield spread (percentage points), and SNB foreign exchange reserves (CHF billions, Model B sample only). Vertical red lines mark the ten geopolitical crisis episodes included in the analysis.

A2. VAR Coefficient Estimates

Table A2: Safe-Haven Effect: Key Estimation Results

	Model A 1985–2025	Model B 1997–2025
<i>GPR Index — Fear Channel</i>		
GPR → Inflows (lag 1)	4.808*	5.389.
GPR → Inflows (lag 4)	8.637***	9.881**
<i>Yield Spread — Carry-Trade Channel</i>		
Spread → Inflows (lag 1)	−0.221	−2.944
Spread → Inflows (lag 4)	−0.629	0.314
<i>Δ FX Reserves — SNB Control</i>		
FX → Inflows (lag 1)	—	−0.032
FX → Inflows (lag 4)	—	0.063*
<i>Model Fit</i>		
R ²	0.517	0.603
Observations	159	112
Lags (AIC)	4	4

Note: Coefficients from the portfolio inflows equation of the VAR system. GPR lag 4 is the strongest result, significant in both Model A (8.637***) and Model B (9.881**). Yield spread coefficients are insignificant throughout, ruling out the carry-trade channel. FX reserves are included in Model B only. Therefore, the dashes indicate that the variable is not included in Model A. *** $p < 0.001$ · ** $p < 0.01$ · * $p < 0.05$ · . $p < 0.1$

A3. Cholesky Decomposition

Table A3.1: Cholesky Decomposition — Model A (1985–2025)

	Δ ln(GPR)	Yield Spread	Δ ln(Inflows)
Δ ln(GPR)	0.2386	0	0
Yield Spread	0.0073	0.3217	0
Δ ln(Portfolio Inflows)	−0.7941	−0.7955	6.4047

Note: Lower triangular Cholesky matrix $\mathbf{P}$ such that $\Sigma = \mathbf{P}\mathbf{P}'$. Bold diagonal elements are structural shock standard deviations. Zeros in the upper triangle are imposed by the recursive Cholesky ordering, where GPR is treated as the most exogenous variable and portfolio inflows as the most endogenous. GPR shock SD = 0.2386 corresponds to a ~27% unexpected quarterly increase in the GPR index and scales all IRFs in Figure 1.

Table A3.2: Cholesky Decomposition — Model B (1997–2025)

	Δ ln(GPR)	Yield Spread	Δ FX Reserves	Δ ln(Inflows)
Δ ln(GPR)	0.2444	0	0	0
Yield Spread	0.0313	0.2478	0	0
Δ FX Reserves	−2.7524	−3.7762	26.4394	0
Δ ln(Portfolio Inflows)	−1.4099	−0.7658	−0.3736	6.9557

Note: Lower triangular Cholesky matrix $\mathbf{P}$ such that $\Sigma = \mathbf{P}\mathbf{P}'$. Bold diagonal elements are structural shock standard deviations. Zeros in the upper triangle are imposed by the four-variable recursive ordering: GPR → Yield Spread → Δ FX Reserves → Portfolio Inflows. After rescaling FX reserves to CHF billions, all entries are in a comparable order of magnitude. GPR shock SD = 0.2444 scales all Model B IRFs and does not affect IRF identification for portfolio inflows.

A4. Cholesky Identification Robustness

Table A4.1: Cholesky Ordering Robustness — Model A (1985–2025)

Horizon		Order 1	Order 2	Order 3
		$GPR \rightarrow Sp \rightarrow Inf$	$Sp \rightarrow GPR \rightarrow Inf$	$Sp \rightarrow Inf \rightarrow GPR$
h = 0	Contemporaneous	−0.7941	−0.7760	0.0000
h = 1	First wave	+1.5527	+1.5447	+1.1388
h = 2	Reversal	−1.4837	−1.4807	−1.5782
h = 3	Second wave	+1.4586	+1.4472	+1.2939
h = 4	Decay	+0.5806	+0.5887	+0.9911

Note: IRF values are reported in log-points of $\Delta \ln(\text{Portfolio Inflows})$ for a one standard deviation GPR shock ($SD = 0.2386$). Order 1 is the baseline specification. Order 2 swaps GPR and the yield spread and produces nearly identical results, reflecting the near-zero contemporaneous correlation between the two variables ($P[2, 1] = 0.0073$). Order 3 places portfolio inflows before GPR, mechanically imposing the zero response at $h = 0$ through the Cholesky construction rather than estimating it from the data. Despite some quantitative variation, the two-wave sign pattern (+, −, +) at horizons 1, 2, and 3 is preserved across all three orderings, indicating that the result is primarily driven by the lagged VAR dynamics rather than the contemporaneous identification assumption.

Table A4.2: Cholesky Ordering Robustness — Model B (1997–2025)

Horizon		Order 1	Order 2	Order 3
		$GPR \rightarrow Sp \rightarrow FX \rightarrow Inf$	$Sp \rightarrow GPR \rightarrow FX \rightarrow Inf$	$Sp \rightarrow FX \rightarrow GPR \rightarrow Inf$
h = 0	Contemporaneous	−1.4099	−1.3027	−1.3298
h = 1	First wave	+2.1151	+2.1202	+2.0592
h = 2	Reversal	−2.1578	−2.1869	−2.1128
h = 3	Second wave	+2.0247	+1.9781	+1.9769
h = 4	Decay	+0.7149	+0.7294	+0.8321

Note: IRF values are reported in log-points of $\Delta \ln(\text{Portfolio Inflows})$ for a one standard deviation GPR shock ($SD = 0.2444$). Order 1 is the baseline specification. Differences across alternative orderings remain small at all horizons, with maximum deviations below 0.11 log-points. The two-wave sign pattern (+, −, +) at horizons 1, 2, and 3 is preserved across all three specifications, suggesting that the IRF dynamics are largely invariant to the contemporaneous identification assumption. Model B also displays greater stability across orderings than Model A, consistent with the inclusion of FX reserves absorbing part of the residual covariance between variables.

A5. IRF Decomposition

Table A5: IRF Decomposition: Direct vs. Indirect GPR Contribution

Horizon	Model A			Model B		
	Direct	Indirect	Total	Direct	Indirect	Total
0 — Contemporaneous	0	−0.794	−0.794	0	−1.410	−1.410
1 — First wave	+1.147	+0.405	+1.553	+1.317	+0.798	+2.115
2 — Reversal	−0.627	−0.856	−1.484	−1.358	−0.800	−2.158
3 — Second wave	+0.820	+0.639	+1.459	+0.883	+1.142	+2.025
4 — Decay	+2.061	−1.480	+0.581	+2.415	−1.700	+0.715

Note: The table decomposes the impulse response of Swiss portfolio inflows into a direct geopolitical risk effect and an indirect propagation effect operating through the VAR system. The direct component is computed as $\alpha_j \times SD(\text{GPR shock})$ where $SD = 0.2386$ (Model A) and 0.2444 (Model B). The indirect component captures transmission through the yield spread and own-lag channels via the MA recursion $\Psi_h = \sum \Phi_j \Psi_{h-j}$ (Proposition 3.1), and is obtained as the difference between the total IRF and the direct effect. The decomposition highlights the two-wave safe-haven pattern with positive peaks at horizons 1 and 3 separated by a reversal at horizon 2. Units: log-points of $\Delta \ln(\text{Portfolio Inflows})$.

A6. Recursive Out-of-Sample Forecast Validation

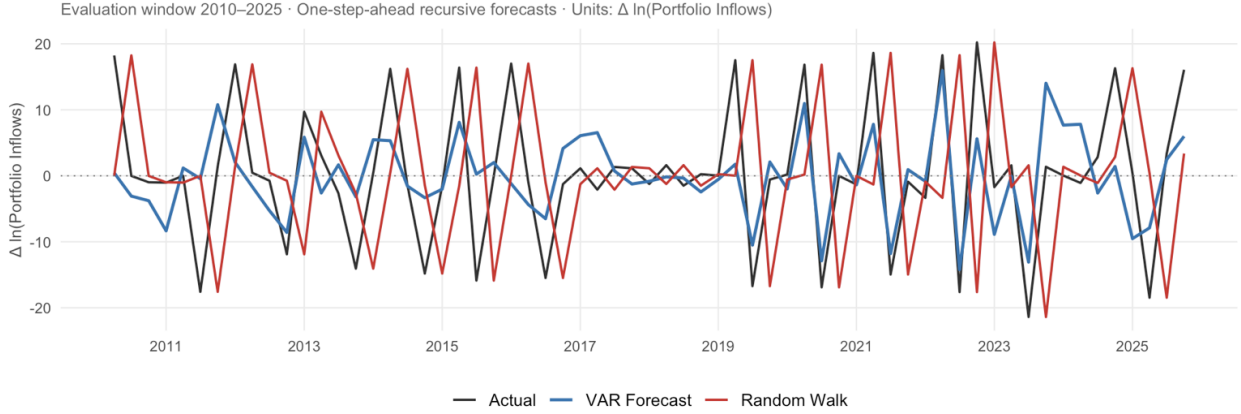


Figure A6: Pseudo Out-of-Sample Forecast: Portfolio Inflows. The figure compares one-step-ahead recursive VAR forecasts of Swiss portfolio inflows with actual inflows and a random walk benchmark over the 2010–2025 evaluation window. The VAR forecast tracks the direction and magnitude of portfolio inflow movements more closely than the random walk benchmark, especially during periods of large inflow volatility. Quantitatively, the VAR achieves an RMSE ratio of 0.48 and an MAE ratio of 0.468 relative to the random walk, implying that forecast errors are reduced by roughly one half. Units: $\Delta \ln(\text{Portfolio Inflows})$.

A7. Recursive GPR Lag-4 Coefficient (Out-of-Sample)

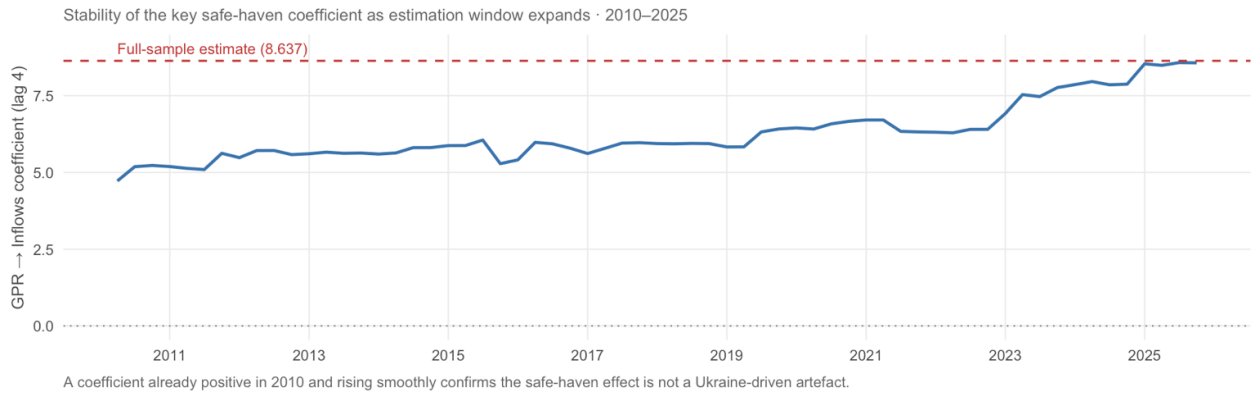


Figure A7: Stability of the GPR Coefficient (lag 4). The solid line tracks the recursive estimate of the lag-4 GPR coefficient as the estimation window expands from 2010 to 2025. The dashed red line marks the full-sample estimate (8.637). The coefficient is already positive and rising by 2010 and converges smoothly to the full-sample value, confirming that the safe-haven result is not driven by the Ukraine War or any single post-2020 episode. Units: coefficient on $\Delta \ln(\text{GPR})_{t-4}$ in the portfolio inflows equation.

A8. VAR Diagnostic Tests

Table A8: VAR Diagnostic Tests

p-values reported. H_0 rejected if $p < 0.05$

Test	Null Hypothesis	Model A · 1985–2025 · 3 variables		Model B · 1997–2025 · 4 variables	
		<i>p</i> -value	Result	<i>p</i> -value	Result
Portmanteau — Serial Correlation	No serial correlation in residuals	0.1684	Pass	0.4302	Pass
ARCH-LM — Heteroskedasticity	No ARCH effects, i.e. constant variance	0.0387	Fail	0.9889	Pass
Jarque-Bera — Normality	Residuals are normally distributed	0.0000	Fail	0.0000	Fail

Note: The Portmanteau test uses 16 lags; the ARCH-LM test uses 5 lags. Serial correlation is not rejected in either model, validating the four-lag specification. The ARCH test fails for Model A but passes for Model B, reflecting the more homogeneous post-1997 sample and the variance-absorbing effect of the FX reserves control. Normality is rejected in both models, which is standard in macro-financial VARs with crisis episodes, and does not affect IRF inference since bootstrap confidence bands are used throughout.

References

- Brunnermeier, M. K., & Pedersen, L. H. (2009). Market liquidity and funding liquidity. *Review of Financial Studies*, 22(6), 2201–2238. <https://doi.org/10.1093/rfs/hhn098>
- Caldara, D., & Iacoviello, M. (2022). Measuring geopolitical risk. *American Economic Review*, 112(4), 1194–1225. <https://doi.org/10.1257/aer.20191823>
- Duffie, D. (2010). Presidential address: Asset price dynamics with slow-moving capital. *Journal of Finance*, 65(4), 1237–1267. <https://doi.org/10.1111/j.1540-6261.2010.01569.x>
- Grise, C., & Nitschka, T. (2015). On financial risk and the safe haven characteristics of Swiss franc exchange rates. *Journal of Empirical Finance*, 32, 153–164. <https://doi.org/10.1016/j.jempfin.2015.03.006>
- Habib, M. M., & Stracca, L. (2012). Getting beyond carry trade: What makes a safe haven currency? *Journal of International Economics*, 87(1), 50–64. <https://doi.org/10.1016/j.jinteco.2011.12.005>
- Ranaldo, A., & Söderlind, P. (2010). Safe haven currencies. *Review of Finance*, 14(3), 385–407. https://papers.ssrn.com/sol3/papers.cfm?abstract_id=999382